

TOTAL KENYA LIMITED

SUMMARY OF AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

STATEMENT OF FINANCIAL POSITION

AS AT	31 Dec 2015 Kshs'000'	31 Dec 2014 Kshs'000'
ASSETS		
Non - current assets		
Property, plant and equipment, prepaid operating leases and intangible assets	9,854,679	9,421,861
Goodwill	416,679	416,679
Deferred tax asset	495,486	463,123
Total non-current assets	10,766,844	10,301,663
Current assets		
Inventories	10,017,977	11,159,064
Trade and other receivables	10,824,654	10,582,108
Cash and cash equivalents	2,615,560	498,965
Total current assets	23,458,191	22,240,137
TOTAL ASSETS	34,225,035	32,541,800
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	5,657,455	4,483,132
Total equity	17,599,746	16,425,423
Non-current liabilities		
Trade and other payables	1,244,627	1,192,167
Current liabilities		
Trade and other payables	11,311,652	7,583,792
Short term borrowings	4,069,010	7,340,418
Total current liabilities	15,380,662	14,924,210
TOTAL EQUITY AND LIABILITIES	34,225,035	32,541,800

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED	31 Dec 2015 Kshs'000'	31 Dec 2014 Kshs'000'
Gross sales	138,027,279	170,725,560
Indirect taxes and duties	(17,773,285)	(15,623,868)
Net sales	120,253,994	155,101,692
Cost of sales	(113,263,567)	(148,351,545)
Gross profit	6,990,427	6,750,147
Other income	766,065	487,693
Operating expenses	(4,905,099)	(4,548,854)
Finance income	127,073	8,541
Finance costs	(39,428)	(272,336)
Net foreign exchange loss	(320,342)	(149,186)
Profit before tax	2,618,696	2,276,005
Tax charge	(1,003,693)	(851,917)
Profit for the year	1,615,003	1,424,088
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	1,615,003	1,424,088
Earnings per share (basic and diluted) (Kshs)	2.57	2.26

COMMENTS

The Company achieved good performance for the year ended 31 December 2015 in spite of volatility in international oil prices and depreciation of the local currency against the US dollar. This good performance is attributed to the efforts and action plans set by management to develop the business, manage working capital requirements, optimise costs and investments in safety and profitable channels.

Sales volumes increased by 7% from 1,618 KMT in 2014 to 1,736 KMT in 2015, mainly attributable to sales to Oil Marketing Companies (OMCs) under the Open Tender System (OTS) Agreement and increased sales in Network, General Trade and Lubricants channels. Thanks to this continued good performance, the Company maintained its leadership position in the inland market in 2015.

Net sales decreased by 22% due to drop in international oil prices. The Company recorded a 4% growth in margins from Kshs 6.75 billion in 2014 to Kshs 6.99 billion in 2015.

Other income increased by Kshs 278 million mainly as a result of disposal of assets classified as held for sale. Operating expenses increased by 8% (Kshs 356 million) mainly due to the increase in depreciation and the impact of inflation on the cost of goods and services. Net finance income of Kshs 88 million in 2015 resulted from a positive cash position in Kenya shillings.

As a result of the depreciation of the Kenya shilling against the US dollar, the Company suffered a forex loss of Kshs 320 million during the year (2014: Kshs 149 million).

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED	31 Dec 2015 Kshs'000'	31 Dec 2014 Kshs'000'
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from /(used in) operations	8,912,909	(5,659,873)
Tax paid	(1,085,418)	(1,423,566)
Net cash generated from /(used in) operating activities	7,827,491	(7,083,439)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(1,759,238)	(1,446,669)
Proceeds on disposal of property, equipment and assets held for sale	246,535	34,316
Interest received	127,073	8,541
Net cash used in investing activities	(1,385,630)	(1,403,812)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(39,428)	(272,336)
Dividends paid	(440,680)	(375,932)
Net cash used in financing activities	(480,108)	(648,268)
Net increase /(decrease) in cash and cash equivalents	5,961,753	(9,135,519)
CASH AND CASH EQUIVALENTS		
As at 1 January	(6,841,453)	2,484,875
Effect of exchange rate changes on cash and cash equivalents	(573,750)	(190,809)
As at 31 December	(1,453,450)	(6,841,453)

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED	Share Capital Kshs'000'	Share Premium Kshs'000'	Retained Earnings Kshs'000'	Total Equity Kshs'000'
31 December 2015				
As at 1 January 2014	9,974,771	1,967,520	3,436,769	15,379,060
Dividends declared - 2013	-	-	(377,725)	(377,725)
Profit for the year	-	-	1,424,088	1,424,088
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	1,424,088	1,424,088
As at 31 December 2014	9,974,771	1,967,520	4,483,132	16,425,423
As at 1 January 2015	9,974,771	1,967,520	4,483,132	16,425,423
Dividends declared - 2014	-	-	(440,680)	(440,680)
Profit for the year	-	-	1,615,003	1,615,003
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	1,615,003	1,615,003
As at 31 December 2015	9,974,771	1,967,520	5,657,455	17,599,746

Profit before tax of Kshs 2.62 billion (2014: Kshs 2.28 billion) was realized. Net profit for the year was Kshs 1.62 billion (2014: Kshs 1.42 billion).

The Company maintained a very strong financial position with a growth in total assets by Kshs 1.68 billion.

Investments totalling Kshs 1.76 billion were made in the year compared to Kshs 1.45 billion in 2014, representing an increase of 22% in line with the strategy to develop safety standards and the business.

OUTLOOK

The macroeconomic environment remained challenging with the volatility of petroleum prices and depreciation of the local currency against the US dollar in 2015.

The economic environment and petroleum market is expected to remain relatively stable in 2016. It is on this premise that the Board is confident that with continued investments, experienced management and staff and presence in all the sectors of the economy, the Company is at a very good position to take advantage of profitable opportunities and continue to perform well in line with the growth strategy.

PROPOSED DIVIDEND

In view of the continued good performance of the Company and the need to continue investing in safety and growth, the Directors are recommending for approval at the Annual General Meeting, the payment of a first and final dividend of Kshs 0.77 per share for the year ended 31 December 2015 compared to Kshs 0.70 in 2014 (a 10% increase), payable to shareholders on the register of members at the close of business on 10th June 2016, subject to withholding tax where applicable.

ANNUAL GENERAL MEETING

The 62nd Annual General Meeting of Total Kenya Limited will be held on 10th June 2016

CLOSURE OF THE SHARE REGISTER

Subject to shareholders' approval at the 62nd Annual General Meeting, the share register will be closed on 10th June 2016 for the purpose of dividend calculation.

By order of the Board



Anne-Solange RENOARD
Managing Director
March 30, 2016